

China Semiconductors

Piotech Inc

Rating

Outperform

Price Target

688072.CH

1,200.00 CNY



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Piotech 2Q26: Revenue beat, profitability improving

On Aug 20th, 2026, Piotech reported its [2Q26 earnings](#) (Exhibit 1). Results are good, revenue beat our estimation and consensus, GPM is recovering and largely in-line, NPM greatly surpassed our estimation and consensus, but mainly from non-recurring investment income. We think the improving profitability is a good sign, **reiterate Outperform**. We updated our [model](#) to reflect the earnings but maintain PT unchanged.

Revenue beat with improved profitability. Piotech 2Q26 revenue at RMB 1.8 billion, YoY 44.6%, 5% better than cons. The GPM in 2Q26 recovered to 40.6% from 38.8% in 2Q25 (+176 bps), we highlighted that the previous low GPM was one-off impact due to first time shipment to NAND customers, and now it's back to normal. Net profit attributable to shareholders reached RMB 772 million, mainly from non-recurring fair value gains on trading financial assets. Excluding the impact, Piotech's recurring net profit attributable to shareholders was RMB 265 million, +21.4% YoY. Adj. NPM was 14.7%, also improving compared to previous quarter.

Deposition is still driving the growth, with packaging as the second leg. Piotech's earnings commentary pointed to continued scale-up across the deposition tools (PECVD, ALD, SACVD, HDPCVD, Flowable CVD), with many tools entering volume production for advanced memory/logic. OPN, SiB, and Bianca converted more volume to revenue, and PE-ALD SiO2/SiCO won repeating orders from advanced memory. On the packaging side, the company kept broadening W2W/D2W hybrid bonding, fusion bonding and related metrology, adding products such as D2W fusion bonding and bond-interface void repair, and expanding into new customers across advanced memory, logic and CIS. Cumulatively, Piotech has now shipped over 3,800 chambers into around 100 production lines.

Capacity expansion is on the way. Piotech is expanding capacity in Shenyang, with planned area of over 150k sqm, including high-spec cleanroom, automated warehousing and advanced test labs. The project is designed to materially lift capacity for deposition. The overall construction progress is on track and targeted completion around 2028. With sufficient capacity, the company is expected to continue grow fast.

Investment Implications

We rate Piotech Outperform.

Reported EPS	F25A	F26E	F27E
688072.CH (CNY)	3.32	10.18	16.61
OLD	--	8.39	15.90

Financials	F25A	F26E	F27E	CAGR
Gross Margin (%)	35.0	41.3	42.2	--
Net Income Margin (%)	14.2	31.8	29.5	--
Revenues (M)	6,519	9,028	15,849	--

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	20 Aug 2026			
688072.CH Close Price (CNY)	671.26			
Price Target (CNY)	1,200.00			
Upside/(Downside)	79%			
52-Week Range	945.00/163.18			
ASIAX	1,922.63			
FYE	Dec			
Div Yield	0.1%			
Market Cap (CNY) (M)	195,121			
EV (CNY) (M)	188,639			
Performance	YTD	1M	6M	12M
Absolute (%)	103.4	5.4	106.5	286.0
ASIAX (%)	17.6	3.0	7.5	29.1
Relative (%)	85.9	2.3	99.0	256.9

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



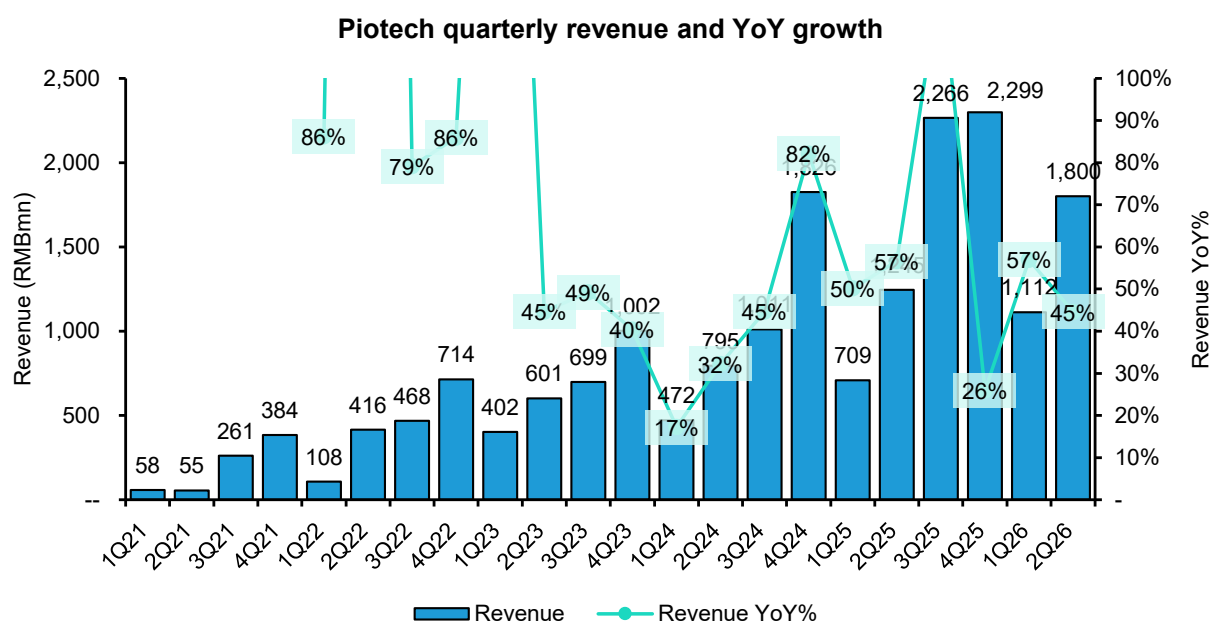
DETAILS

EXHIBIT 1: Piotech 2Q26 beats top line, net profit is a massive beat due to investment income

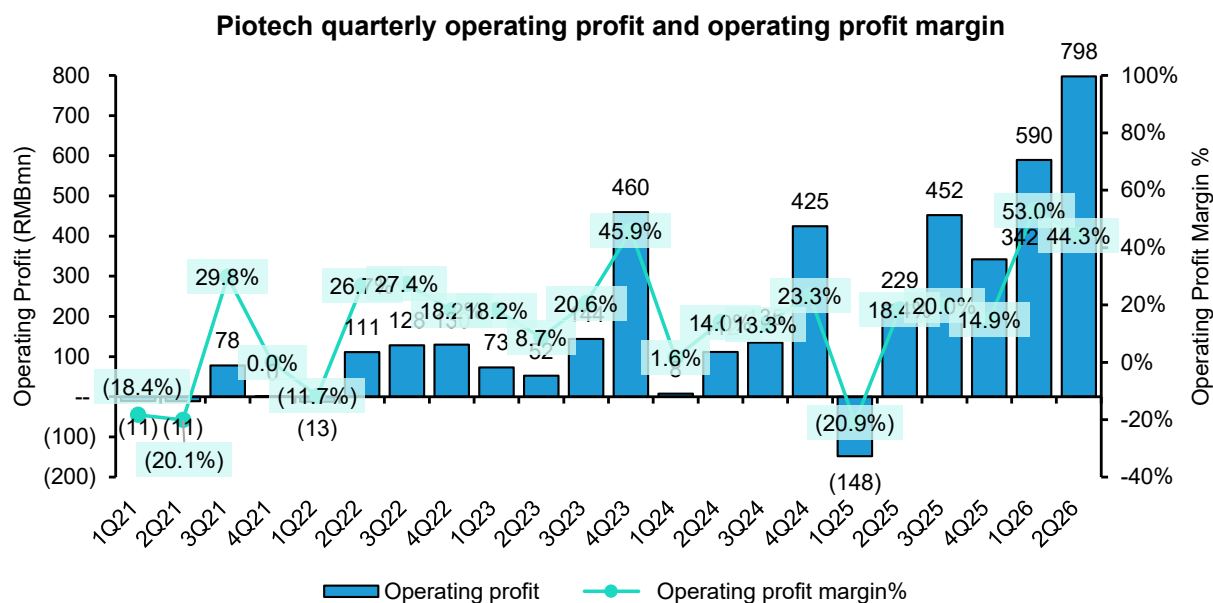
(CNY M)	2Q26 Actual	1Q26 Actual	2Q25 Actual	QoQ	YoY	2Q26E Bernstein	2Q26E Consensus	Differences vs.	
								Bernstein	Consensus
Revenue	1,800	1,112	1,245	61.8%	44.6%	1,706	1,721	6%	5%
Gross Profit	731	464	484	57.5%	51.1%	687	700	6%	4%
Gross profit margin %	40.6%	41.7%	38.8%	(111bps)	176bps	40.3%	40.7%	31bps	(12bps)
Operating Profit	798	590	229	35.4%	248.6%	301	380	165%	110%
Operating profit margin %	44.3%	53.0%	18.4%	(867bps)	2594bps	17.6%	22.1%	2669bps	2224bps
Net Profit	772	571	241	35.3%	220.1%	319	381	142%	103%
Net profit margin %	42.9%	51.3%	19.4%	(841bps)	2352bps	18.7%	22.1%	2421bps	2074bps
Recurring Net Profit	265	102	218	159.7%	21.4%				
Recurring net profit margin%	14.7%	9.2%	17.5%	555bps	(281bps)				
Basic EPS (in CNY)	2.74	2.03	0.87	35.0%	214.9%	1.13	1.06	249%	156%

Source: Company report, Bernstein analysis

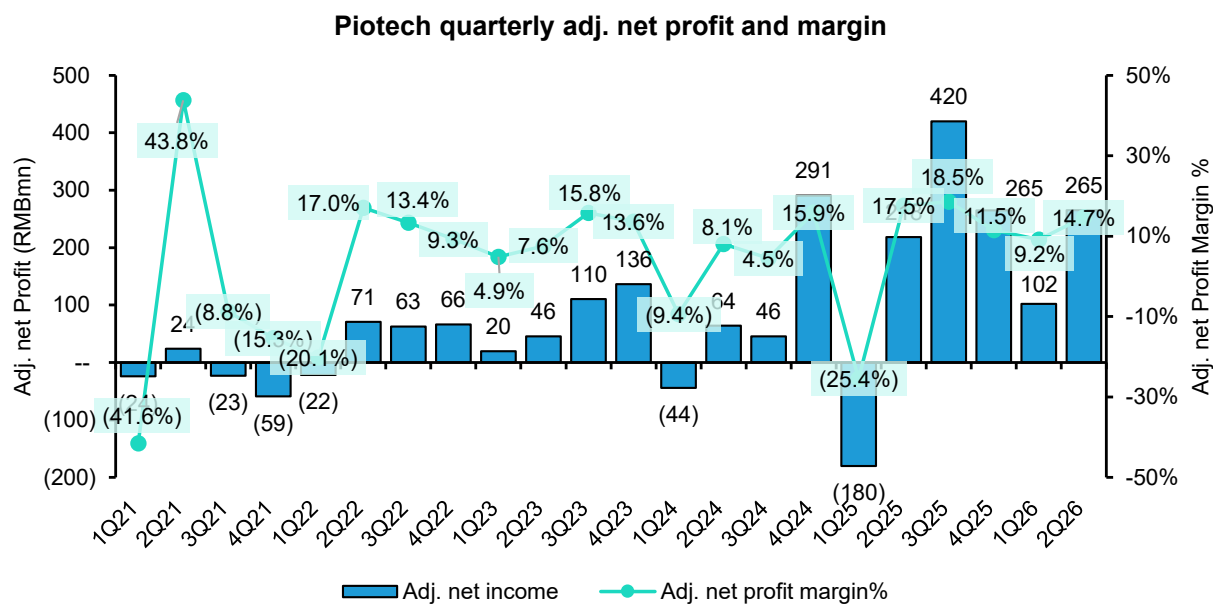
EXHIBIT 2: Piotech quarterly revenue and YoY growth



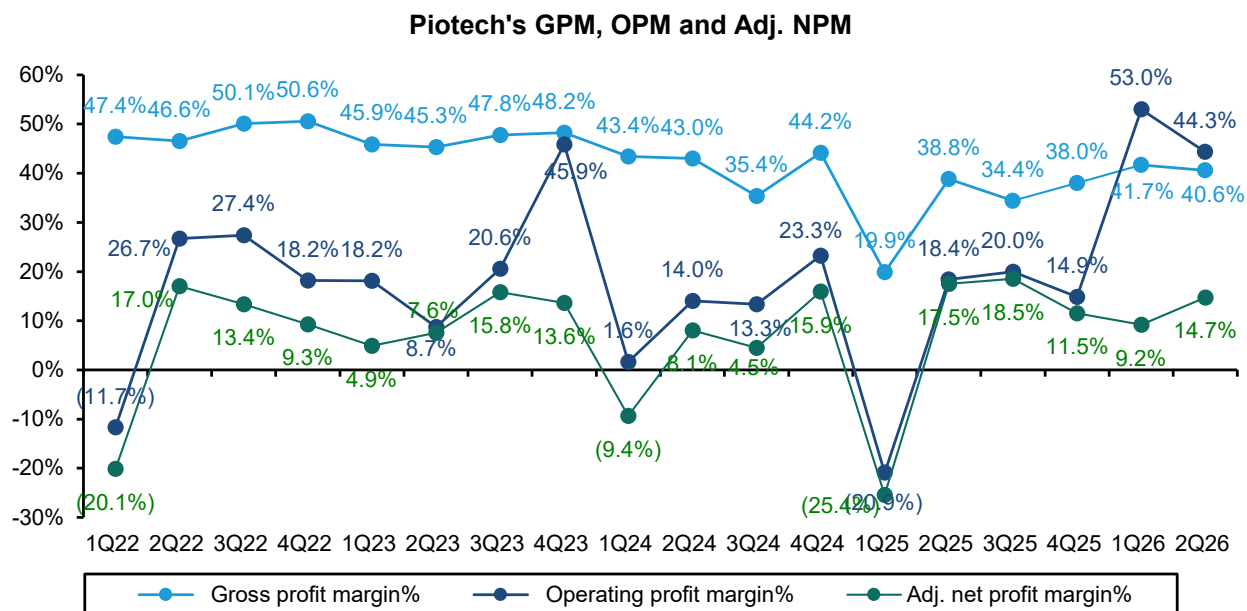
Source: Company report, Bernstein analysis

EXHIBIT 3: **Piotech's quarterly operating profit and OPM**

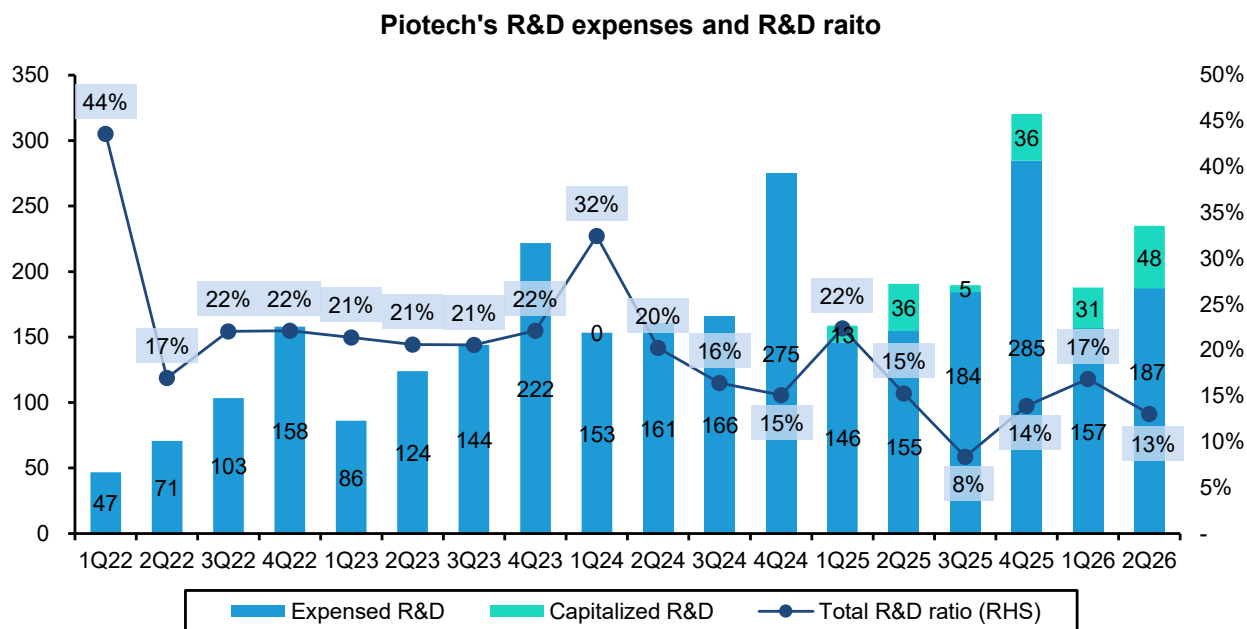
Source: Company report, Bernstein analysis

EXHIBIT 4: **Piotech's quarterly adj. net profit and adj. NPM**

Source: Company report, Bernstein analysis

EXHIBIT 5: **Piotech's GPM, OPM and NPM**

Source: Company Filings; Bernstein analysis and estimates

EXHIBIT 6: **Piotech's R&D expense and R&D ratio**

Piotech's R&D expenditures are all expensed

Source: Company report, Bernstein estimate and analysis

MODEL UPDATE

As full earnings results have been released, we updated our model with the actual 1H26 numbers. Therefore, no changes on the assumptions we have made for the company's revenue and gross profit outlook. Both differences in operating profit and net income are caused due to aligning previous forecast of 1H26 numbers to the actual results. With all these adjustments, we apply 34x PE (decreased from 36x PE) based on our increased 2028E EPS and set PT at CNY 1,200, unchanged from previous

PT.

EXHIBIT 7: **Piotech: Company model forecast vs. consensus**

Revenue (CNY mn)	2023	2024	2025	2026E	2027E	2028E
Bernstein	2,705	4,103	6,519	9,028	15,849	31,734
Growth YoY	59%	52%	59%	38%	76%	100%
Consensus				8,640	11,437	16,287
Growth YoY				33%	32%	42%
Bernstein vs. consensus				4%	39%	95%
Bernstein old				8,933	15,708	31,491
Growth YoY				37%	76%	100%
New vs. Old				1%	1%	1%
Gross profit						
Bernstein	1,274	1,711	2,279	3,725	6,686	13,505
Growth YoY	51.7%	34.2%	33.2%	63.5%	79.5%	102.0%
GP Margin	47.1%	41.7%	35.0%	41.3%	42.2%	42.6%
Consensus				3,494	4,818	6,603
Growth YoY				53.3%	37.9%	37.1%
GP Margin				40.4%	42.1%	40.5%
Bernstein vs. consensus - GP				7%	39%	105%
Bernstein vs. consensus - GPM				82bps	6bps	201bps
Bernstein old				3,633	6,533	13,214
Growth YoY				59.5%	79.8%	102.3%
GP Margin				40.7%	41.6%	42.0%
New vs. Old - GP				3%	2%	2%
New vs. Old - GPM				58bps	59bps	60bps
Operating profit						
Bernstein	729	679	875	2,914	4,683	9,850
Growth YoY	104.5%	(6.9%)	29.0%	232.8%	60.7%	110.4%
OP Margin	27.0%	16.5%	13.4%	32.3%	29.5%	31.0%
Consensus			875	1,787	2,617	3,693
Growth YoY				104.1%	46.5%	41.1%
OP Margin				20.7%	22.9%	22.7%
Bernstein vs. consensus - OP				63%	79%	167%
Bernstein vs. consensus - OPM				1160bps	667bps	837bps
Bernstein old				2,345	4,445	9,436
Growth YoY				167.9%	89.6%	112.3%
OP Margin				26.3%	28.3%	30.0%
New vs. Old - OP				24%	5%	4%
New vs. Old - OPM				602bps	124bps	108bps
Net income attributable to shareholders						
Bernstein	663	688	927	2,867	4,677	9,838
Growth YoY	79.8%	3.9%	34.7%	209.4%	63.1%	110.4%
NP Margin	24.5%	16.8%	14.2%	31.8%	29.5%	31.0%
Consensus				1,769	2,571	3,935
Growth YoY				90.9%	45.3%	53.0%
NP Margin				20.5%	22.5%	24.2%
Bernstein vs. consensus - NP				62%	82%	150%
Bernstein vs. consensus - NPM				1128bps	703bps	684bps
Bernstein old				2,342	4,440	9,425
Growth YoY				152.7%	89.6%	112.3%
NP Margin				26.2%	28.3%	29.9%
New vs. Old - NP				22%	5%	4%
New vs. Old - NPM				554bps	124bps	107bps
EPS						
Bernstein	3.54	2.48	3.32	10.18	16.61	34.95
Growth YoY	11.3%	(29.9%)	33.9%	206.8%	63.1%	110.4%
Consensus				6.05	8.83	13.57
Growth YoY				82.3%	45.8%	53.7%
Bernstein vs. consensus				68%	88%	158%
Bernstein old				8.39	15.90	33.74
Growth YoY				152.6%	89.6%	112.3%
New vs. Old				21%	5%	4%

Source: Bloomberg, company reports, Bernstein analysis and estimates

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 8: Piotech Financial Summary

Piotech (688072.CH) - Income Statement (in RMB million, unless otherwise stated)									
	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E
Revenue	436	758	1,706	2,705	4,103	6,519	9,028	15,849	31,734
Cost of sales	(287)	(424)	(865)	(1,431)	(2,393)	(4,241)	(5,303)	(9,164)	(18,229)
Gross profit	148	334	840	1,274	1,711	2,279	3,725	6,686	13,505
Total SG&A	(94)	(142)	(273)	(365)	(500)	(721)	(1,081)	(1,782)	(3,488)
R&D expenses	(123)	(288)	(379)	(576)	(756)	(770)	(986)	(1,529)	(2,742)
Financial income / (expense)	10	19	18	12	(65)	(85)	147	151	259
Net income from investment	-	-	14	3	1	50	14	-	-
Other gain / (loss)	45	133	136	381	288	123	1,095	1,157	2,317
Operating Profit	(14)	56	357	729	679	875	2,914	4,683	9,850
Non-operating activities	2	11	8	(0)	(0)	0	0	-	-
Profit before taxation	(12)	67	364	729	679	876	2,914	4,683	9,850
Income tax	-	(0)	-	(65)	9	39	(120)	(164)	(345)
Net Profit	(12)	67	364	664	687	915	2,794	4,519	9,506
Profit attributable to:									
Equity shareholders of the Company	(11)	68	368	663	688	927	2,867	4,677	9,838
Non-controlling interests	(0)	(2)	(4)	1	(1)	(12)	(73)	(158)	(333)
Basic EPS (RMB)	-	0.72	3.18	3.54	2.48	3.32	10.18	16.61	34.95
Diluted EPS (RMB)	-	0.72	3.17	3.52	2.46	3.29	10.04	16.37	34.44
W.A. shares outstanding (mn)	-	95	116	187	277	279	281	281	281
Piotech (688072.CH) - Balance Sheet (in RMB million, unless otherwise stated)									
	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E
Cash & equivalents	1,004	965	3,827	2,676	3,003	5,300	1,041	(407)	(4,011)
Financial assets held for trading	--	--	46	29	193	890	2,226	2,226	2,226
Accounts & other receivables, prepayments	79	158	385	730	1,605	1,436	2,155	4,022	7,534
Inventories	512	953	2,297	4,556	7,216	7,826	13,638	22,755	43,681
Other current assets	14	98	266	466	670	829	659	1,019	1,884
Total current assets	1,609	2,175	6,820	8,457	12,687	16,279	19,719	29,614	51,314
Total PP&E, intangible assets, ROU and investment prope	203	333	439	827	1,814	2,497	3,047	3,609	4,920
Long-term equity investment	--	--	--	228	249	300	368	368	368
Other non-current assets	2	10	54	457	564	747	1,164	1,164	1,164
Total non-current assets	205	343	493	1,512	2,627	3,544	4,579	5,141	6,452
Total assets	1,814	2,518	7,313	9,969	15,314	19,824	24,298	34,755	57,767
Accounts payables and other payables	242	464	967	1,284	2,477	3,393	4,473	7,795	15,252
Short-term borrowings	--	--	400	70	119	186	--	--	--
Contract Liabilities	134	488	1,397	1,382	2,983	4,852	2,682	4,440	8,641
Other current liabilities	17	64	183	247	1,253	2,935	930	1,787	3,636
Total Current Liabilities	394	1,016	2,947	2,982	6,831	11,366	8,085	14,023	27,528
Long-term borrowings	--	--	270	1,871	2,794	850	400	400	400
Other non-current liabilities	298	309	389	525	391	492	747	747	747
Total Non Current Liabilities	298	309	659	2,396	3,185	1,342	1,147	1,147	1,147
Total liabilities	692	1,324	3,605	5,378	10,015	12,708	9,232	15,170	28,676
Capital Reserve & Additional Add-in Capital	1,376	1,098	3,248	3,501	3,762	4,240	9,096	9,096	9,096
Less: Treasury Stock	--	--	--	--	(197)	(197)	197	197	197
Retained earnings / (accumulated deficit)	(253)	95	464	1,093	1,716	2,567	5,341	10,018	19,856
Other comprehensive income / (loss) & Other equity tools	--	--	--	(0)	(0)	(0)	(1)	(1)	(1)
Total Shareholders' Equity	1,122	1,193	3,712	4,594	5,280	6,610	14,634	19,311	29,150
Minority shareholders' interest	0	1	(4)	(2)	19	506	432	274	(59)
Total Equity	1,122	1,193	3,708	4,592	5,299	7,115	15,067	19,585	29,091
Total Liabilities & Equity	1,814	2,518	7,313	9,969	15,314	19,824	24,298	34,755	57,767
Piotech (688072.CH) - Cash Flow Statement (in RMB million, unless otherwise stated)									
	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E
Net income	(12)	67	364	664	687	915	2,794	4,519	9,506
Depreciation & Amortization	17	18	29	52	86	148	191	230	276
Change in working capital	321	28	(126)	(2,303)	(74)	3,971	(9,203)	(5,405)	(11,798)
Other operating cashflow	(18)	25	(19)	(70)	(982)	(1,401)	(236)	-	-
Net cash (used in) / generated from operating activities	309	137	248	(1,657)	(283)	3,633	(6,455)	(656)	(2,017)
Net capex	(6)	(150)	(111)	(481)	(686)	(575)	(527)	(792)	(1,587)
Other investing cashflow	-	-	(40)	(355)	(206)	(754)	(608)	-	-
Net cash used in investing activities	(6)	(150)	(151)	(836)	(892)	(1,329)	(1,135)	(792)	(1,587)
Change in debt	-	-	670	1,333	1,637	(608)	(636)	-	-
Change in equity	319	(278)	2,150	253	261	478	4,856	-	-
Cash Paid for Distribution of Dividends, Profit and Repayrr	-	-	(1)	(63)	(138)	(158)	-	-	-
Other Cash Paid Related to Financing Activities	(17)	275	(29)	(184)	(399)	224	(1,183)	-	-
Net cash used in financing activities	302	(3)	2,790	1,339	1,361	(64)	3,036	-	-
Net change in cash during period	604	(15)	2,890	(1,157)	184	2,239	(4,553)	(1,448)	(3,604)
Cash and cash equivalents at period end	1,004	965	3,827	2,676	3,003	5,300	1,041	(407)	(4,011)

Source: Company reports, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	20 Aug 2026	Price Target	TTM	Reported EPS				Reported P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
688072.CH (Piotech)	O	CNY	671.26	1,200.00	256.9%	CNY	3.32	10.18	16.61	202.2	65.9	40.4
OLD								8.39	15.90			
ASIA			1,922.63									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**Piotech Inc**

We value Piotech at a PT of CNY 1,200 with 34x Price to EPS multiple, based on our estimate of 2028 EPS of RMB 34.95.

RISKS**Piotech Inc**

Downside risks:

- Unexpected order losses from key clients due to over-reliance on a few large clients.
- The capital expenditure for fabs in China did not meet the expected targets.
- Slower-than-expected domestic equipment localization progress due to unforeseen technical difficulties in certain manufacturing processes or production capacity bottlenecks of domestic equipment manufacturers

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors

on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

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The Autonomous brand has three categories of credit ratings:

- **Credit Outperform (C-OP):** The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

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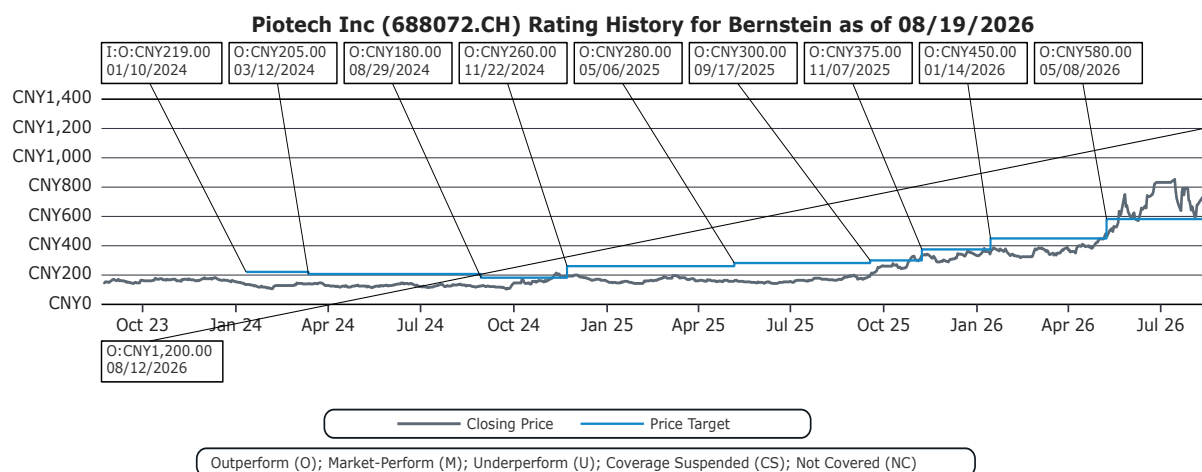
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